

play the market when prices are spiraling up. The veteran investor objectively looks for bargains in growth stocks—which he buys and holds, and from which he generally reaps handsome profits over a period of years. He banks on the climate—and makes all necessary allowances and takes all precautions so that he can ride out any stock market storms.

There is still a lingering misconception that the small or amateur investor is at the mercy of the big investors and the Wall Street financiers. This might have been the case in the dim, distant and unlamented days of Jay Gould, but nothing could be further from the truth today. No ruthless, rapacious Wall Street tycoon can rig the market or corner the stocks of an entire industry these days. For one thing, stock market transactions are closely regulated by such highly efficient and potent watchdog organizations and agencies as the Federal Securities and Exchange Commission—the SEC. For another, the common stocks of most large corporations are owned by thousands and tens of thousands of individuals, organizations, mutual fund groups and so on. “Big” investors seldom own more than a comparatively small percentage of a large corporation’s common stock.

If anything, it is the professional investor who is at the mercy of the speculator and the amateur—at least in the sense that the latter categories of stock buyers and sellers set the pattern for the market.

The professional investor purchases stocks on what might be termed a scientific, or at least a cerebral, basis. He analyzes facts and figures objectively and with great care and does his buying for purposes of long-term investment. He is, in effect, banking that the stocks he buys will increase appreciably in value over the next few or several years.

It is the emotional nonprofessional investor who sends the price of a stock up or down in sharp, sporadic and more or less short-lived spurts. A politician’s speech, an ivory-tower pundit’s pronouncements or prophecies, a newspaper item or a whispered rumor—such things are enough to trigger wildly enthusiastic buying sprees or hysterical orgies of